THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 9 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 1

Chapter 2: **The Price Puzzle (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A marketplace has unsold stock and price cuts at the end of the day. This represents 1

(a) excess supply and falling price **(b)** monopoly

(c) excess demand **(d)** equilibrium

2. A producer expects higher prices next season and stores stock. Present supply 1

(a) is unchanged **(b)** falls **(c)** is infinite **(d)** rises

3. Assertion (A): Market equilibrium in real life is always stable. Reason (R): Demand and supply keep changing due to events like pandemics and weather. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

4. The market for sugar in Maharashtra has excess supply. Producers would most likely 1

(a) cut price **(b)** raise price

(c) form a monopoly **(d)** stop selling forever

5. At Rs 100: Qd 12, Qs 12. After a drought Qs becomes 6 at Rs 100. The new situation is 1

(a) excess supply of 6 **(b)** excess demand of 6

(c) no demand **(d)** equilibrium

6. A farmer stops growing wheat and shifts to pulses after a price rise of pulses. This is 1

(a) related-goods effect on supply **(b)** monopoly

(c) income effect **(d)** ceiling

7. Assertion (A): Tea and coffee are substitutes. Reason (R): A rise in the price of tea raises the demand for coffee. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

8. If the government sets a maximum price of Rs 20/kg for wheat when the market price is Rs 30/kg, the likely result is 1

(a) shortage **(b)** equilibrium **(c)** no change **(d)** surplus

9. Assertion (A): A price floor set below the equilibrium price is effective. Reason (R): Sellers can charge more than the minimum anyway. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. A new law caps the price of a drug but its supply falls. The most likely reason is 1

(a) higher demand **(b)** more sellers
(c) lower profit discourages production **(d)** monopoly

SECTION — B (Very Short Answer Type) 4 × 2 = 8

Answer in about 20–30 words each.

11. State two ways hotels respond to a group cancellation. 2

12. Why must a price floor be above equilibrium to be effective? 2

13. What is the link between demand, willingness and purchasing power? 2

14. Why does overfishing hurt future supply? 2

SECTION — C (Short Answer Type) 4 × 3 = 12

Answer in about 40–60 words each.

15. How does the entry of many producers of mobile phones affect prices and quality? 3

16. Prices of 1 kg mangoes are Rs 150, 100, 50; Alex's demand is 2, 4, 6 kg. Draw the schedule in words and find the change in demand when price falls from 150 to 50. 3

17. If wages rise sharply, what happens to supply of labour-intensive goods? 3

OR

Why do both governments and markets matter for fair prices? 3

18. Explain why hotels may have different tariffs on a Monday in July and New Year's Eve. 3

OR

Why is an economy with tight licensing less likely to attract entrepreneurs? 3

SECTION — D (Long Answer Type) 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain how regulators like RBI, SEBI, TRAI and CCPA shape markets. 5

OR

Use a table to show demand shifts when income rises and explain the effect on equilibrium. 5

20. Discuss how a democratic government balances consumer, producer and worker interests. 5

OR

Explain how a rise in income and a fall in price together affect demand and consumer welfare. 5

END OF QUESTION PAPER Total: 40 Marks